

Asia Quantitative Strategy

Asia Quant Strategy: The 3rd biggest momentum unwind since 1999 - Where from here?



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July saw the third-sharpest monthly momentum unwind in Asia ever - the factor was down -40% which is just shy of the 2 worst drawdowns of -54%/-50% seen in 1999 and 2001. After such sharp down move, history suggest a comeback in the near-term. Interestingly, the +8% move on 31st July was the sharpest single day return for the factor ever. After the extreme volatility, investors have been asking - how far the unwind has played, where we are in the cycle and how to position from here. We discuss this in this short note.

What has changed? **1)** The valuation bubble has normalized - Asia ex China momentum has dropped from record high multiples to near average valuations while Korea momentum and Asia tech momentum baskets have fallen below average valuations. TW momentum has also de-rated but only to +1SD level. **2)** More broadly, market-level valuations across Asia have corrected materially, and India has shown a clear valuation bottom at 17.8x fwd. PE in June (moving up to 18.5x fwd. PE in July). **3)** Flow dynamics have changed - India finally saw 2.5bn USD of inflow in July while in KR the extreme retail inflow has peaked and extreme FII outflow has bottomed. **4)** Most interestingly, earnings cycle seem to be broadening out across the region - China and India are showing bottom in downgrades and PH/AU/ID are showing early signs of inflection while earnings expectations for KR/TW have peaked in July. Along with Tech now Industrial/Financials are also showing upward revisions while Healthcare, Utilities, Consumer and Real Estate are headed towards earnings recovery.

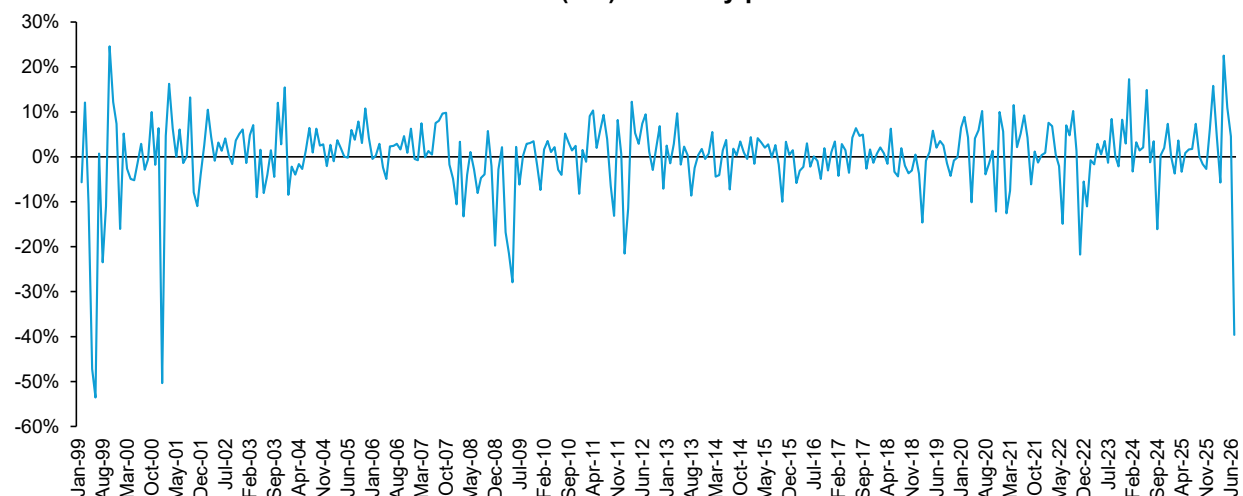
What hasn't changed much? **1)** Despite the sharp correction in prices and valuations, the earnings expectations for momentum stocks in Asia ex China, Taiwan, Korea, Asia tech remain near record high, though upgrades have peaked in July. **2)** Crowding within momentum trade also remains elevated, even though showing early peak. **3)** The concentration risk is still quite high with top 5 stocks still accounting for 65% of KR market cap and 66% of TW, while tech still representing 84% of TW market cap (down from 85%) and 65% of KR (down from 70%). **4)** Interestingly, there has been no visible inflection yet on the 25yr high intra-market dispersion - Growth remains at record high correlation with momentum while low vol has fallen even further, now at >-90% correlation with momentum. **5)** KR/TW valuation metrics such as P/B and EV/EBITDA have peaked and DY has bottomed from extreme levels but still remain stretched. **6)** After reaching record low risk premium, we see early inflection in KR/TW, but it is far from normal. TH risk premium seems to be picking up while China risk premium is showing early peak.

How to position: Given the extreme pull-back, there is a case for near-term rebound. However, we don't think the full unwind has played out. Hence, we recommend diversifying exposure outside of tech/AI trade. We recommend being selective on momentum names (focusing on high quality names and where earnings momentum has been improving) while adding more low vol/high yield/value exposure ie. the anti-momentum basket. This also means rotation within tech and adding under-appreciated opportunities in India and China. We believe a barbell approach is most prudent in these volatile times. **For all our screens, see - [Top picks for 2H](#), [Asia Quant Strategy Deck](#), [Asia Tech Strategy](#), [Japan Q3 strategy](#), [Japan Tech Strategy](#).**

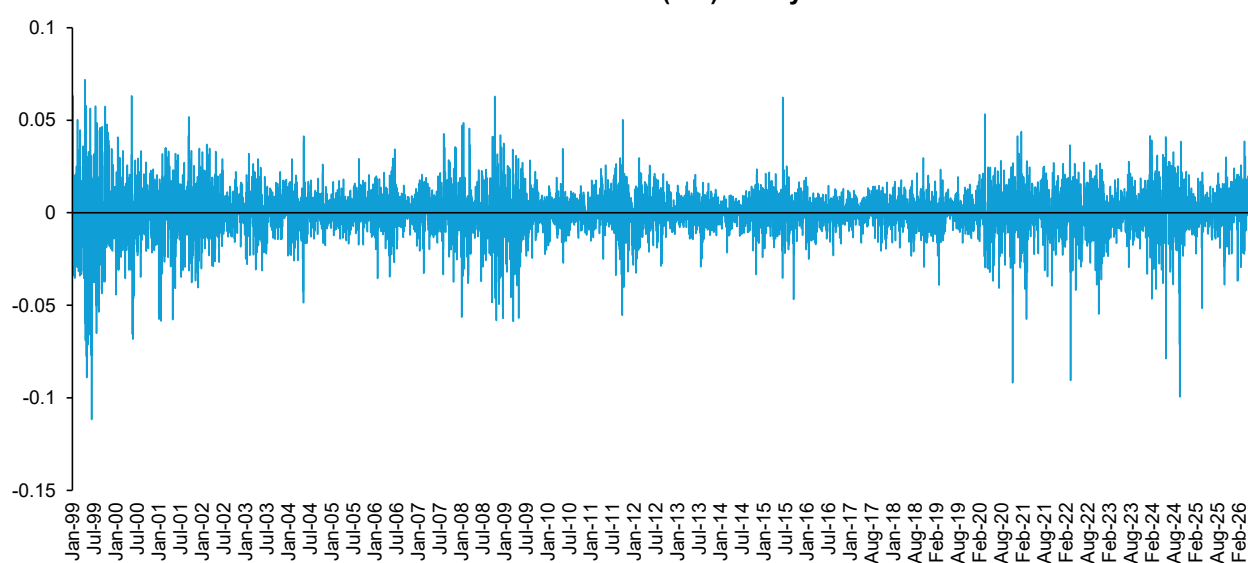
DETAILS

EXHIBIT 1: The Asia momentum pullback in July was the 3rd biggest monthly drawdown going back till 1999. Asia momentum was down -40% in July vs. -54% and -50% in 1999 and 2001. Interestingly, the single day reversal (+8%) seen on 31st July was the largest single day move ever in the factor

Asia Momentum (L/S) - Monthly performance



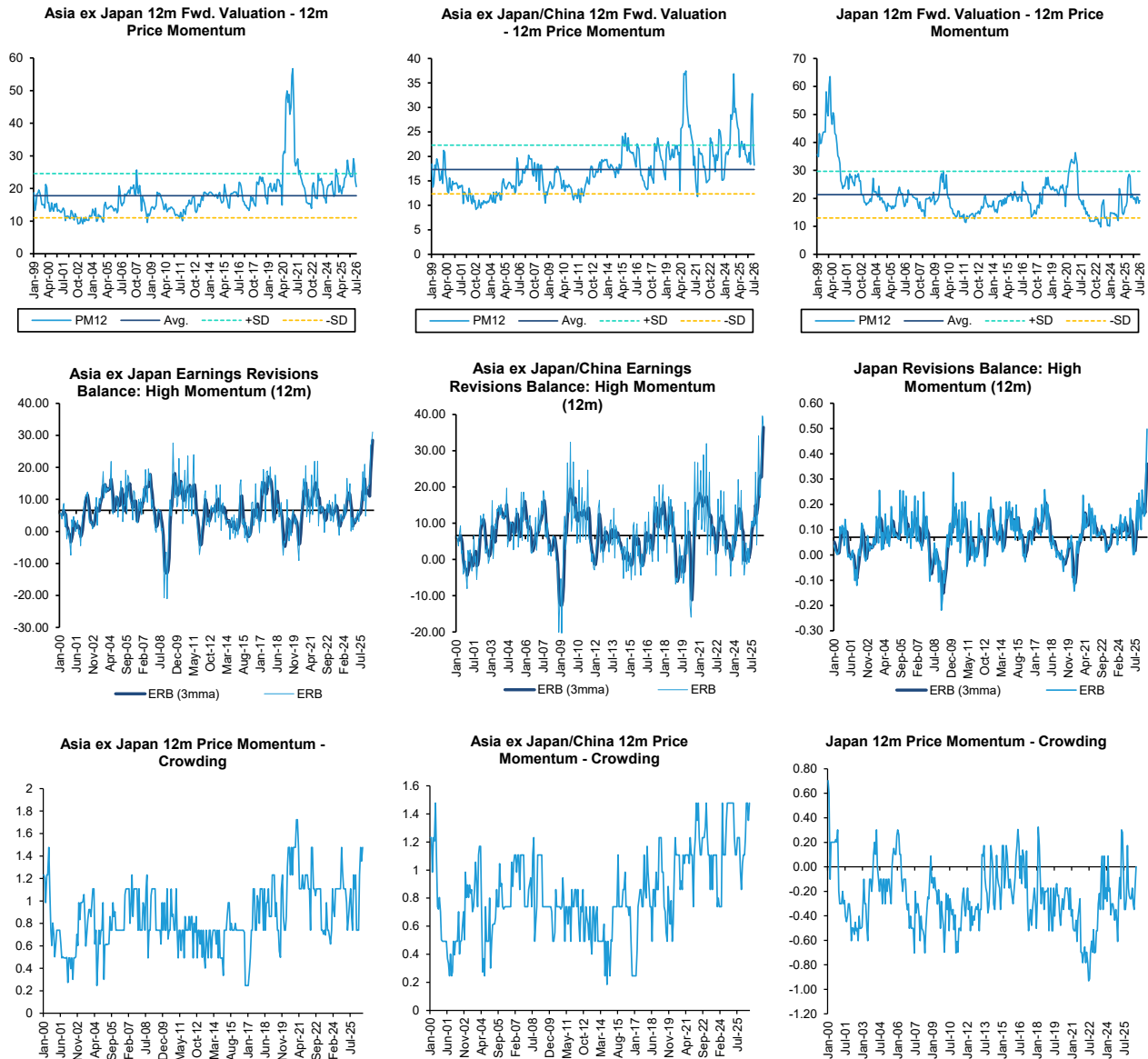
Asia Momentum Factor (L/S) - Daily returns



Data till Jul 31st 2026. Daily performance of Asia ex Japan momentum factor (L/S)

Source: MSCI, FactSet, Bernstein analysis

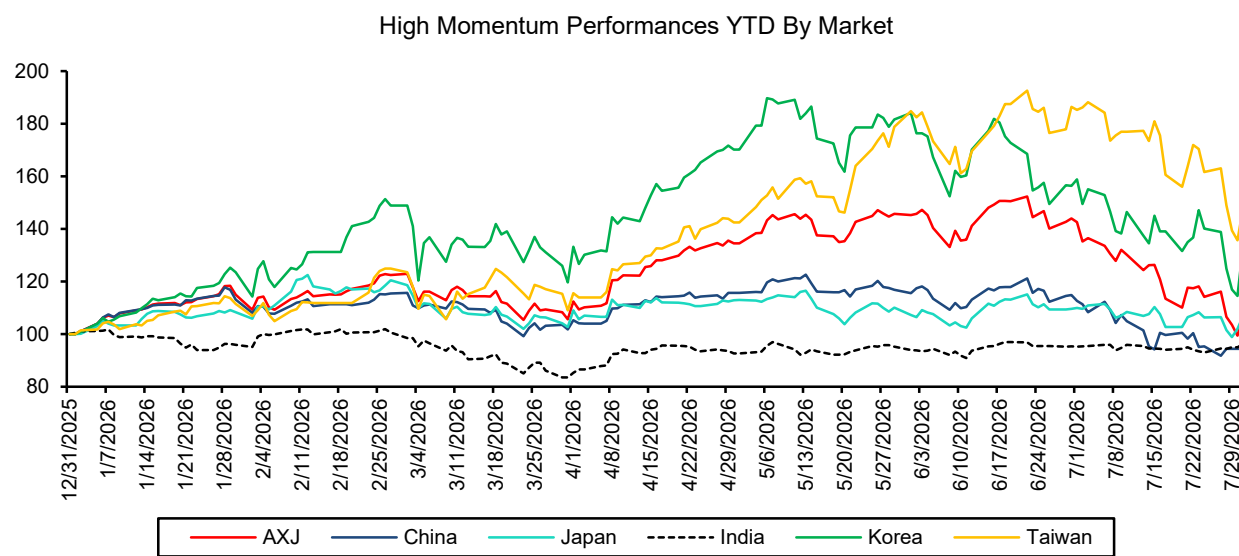
EXHIBIT 2: The momentum unwind risk was highest in Asia ex Japan ex China Momentum trade - valuation has dropped from near record high to average levels. However, earnings expectations and crowding continue to remain at record high though July data point is showing peak in earnings expectations for Asia ex China but not yet for broader Asia or Japan momentum



Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

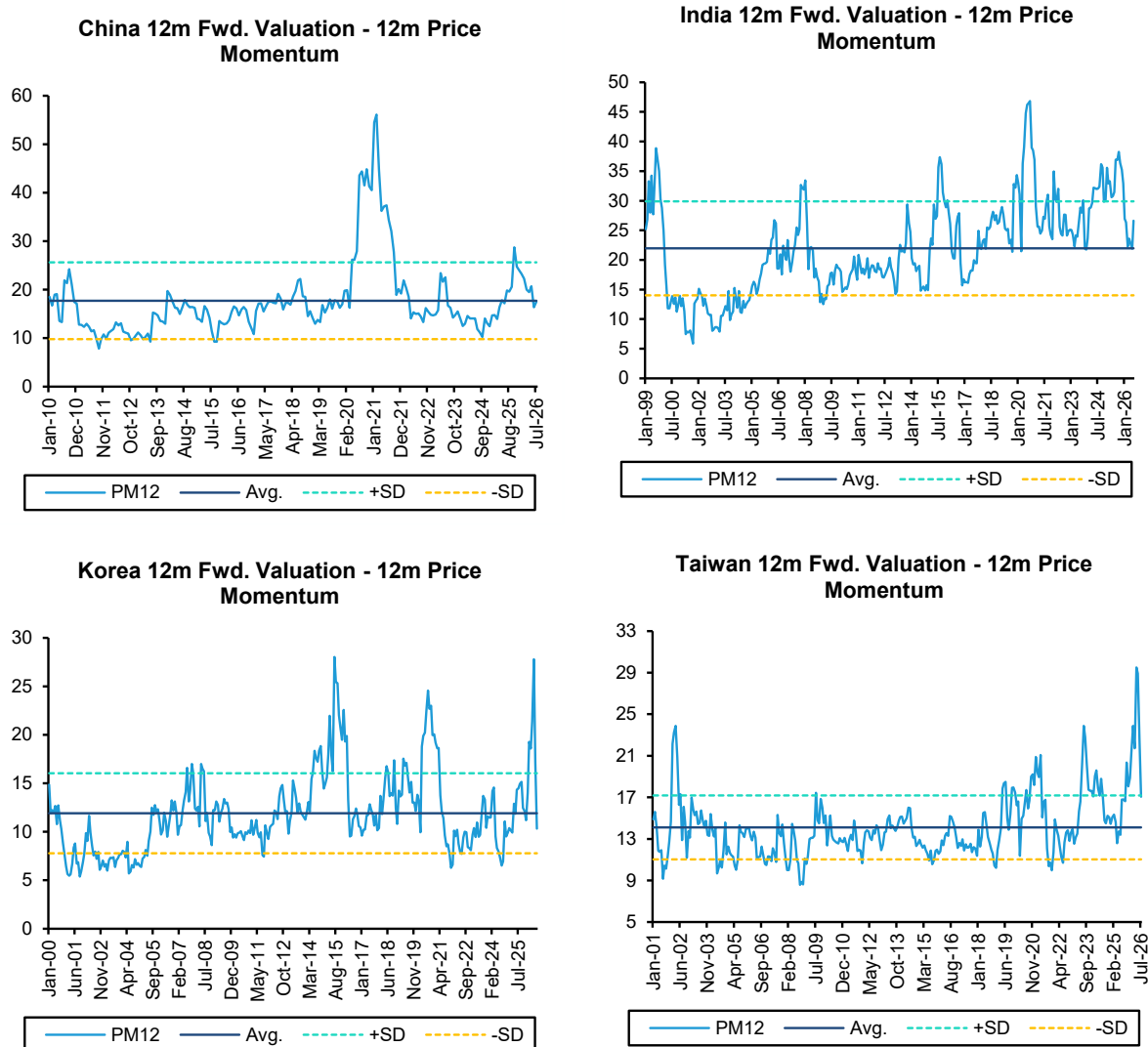
EXHIBIT 3: Momentum unwind has been extreme across Asia - From peak to trough, high momentum portfolio was down -40% in Korea, -30% in TW, -26% in China, -14% in Japan and -4% in India



Data till Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

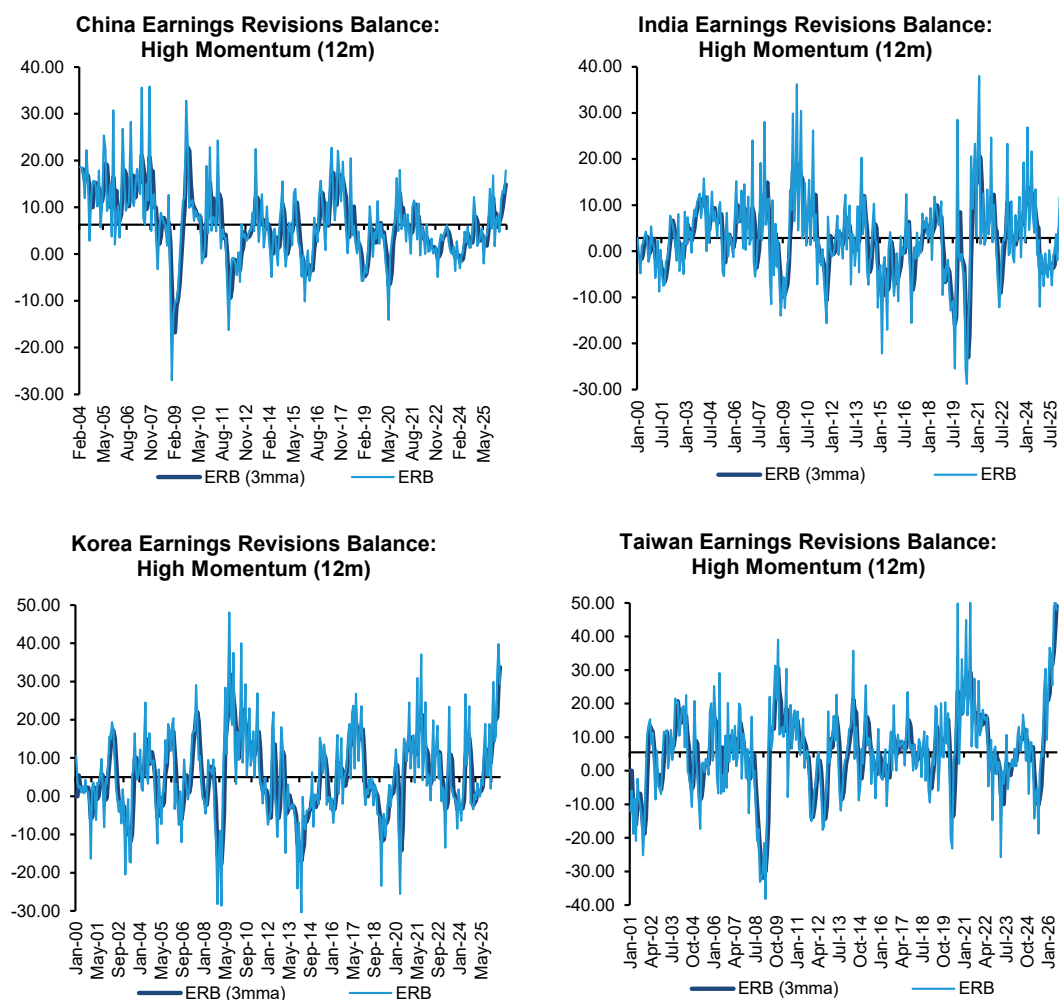
EXHIBIT 4: The valuation bubble in KR/TW momentum has now normalized - KR momentum is now trading below average valuations vs. peak levels in June while TW momentum has dropped down to +1SD level. India and China momentum never had a valuation concern and they are trading near average multiples. India momentum is showing an inflection and showing valuation upcycle



Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

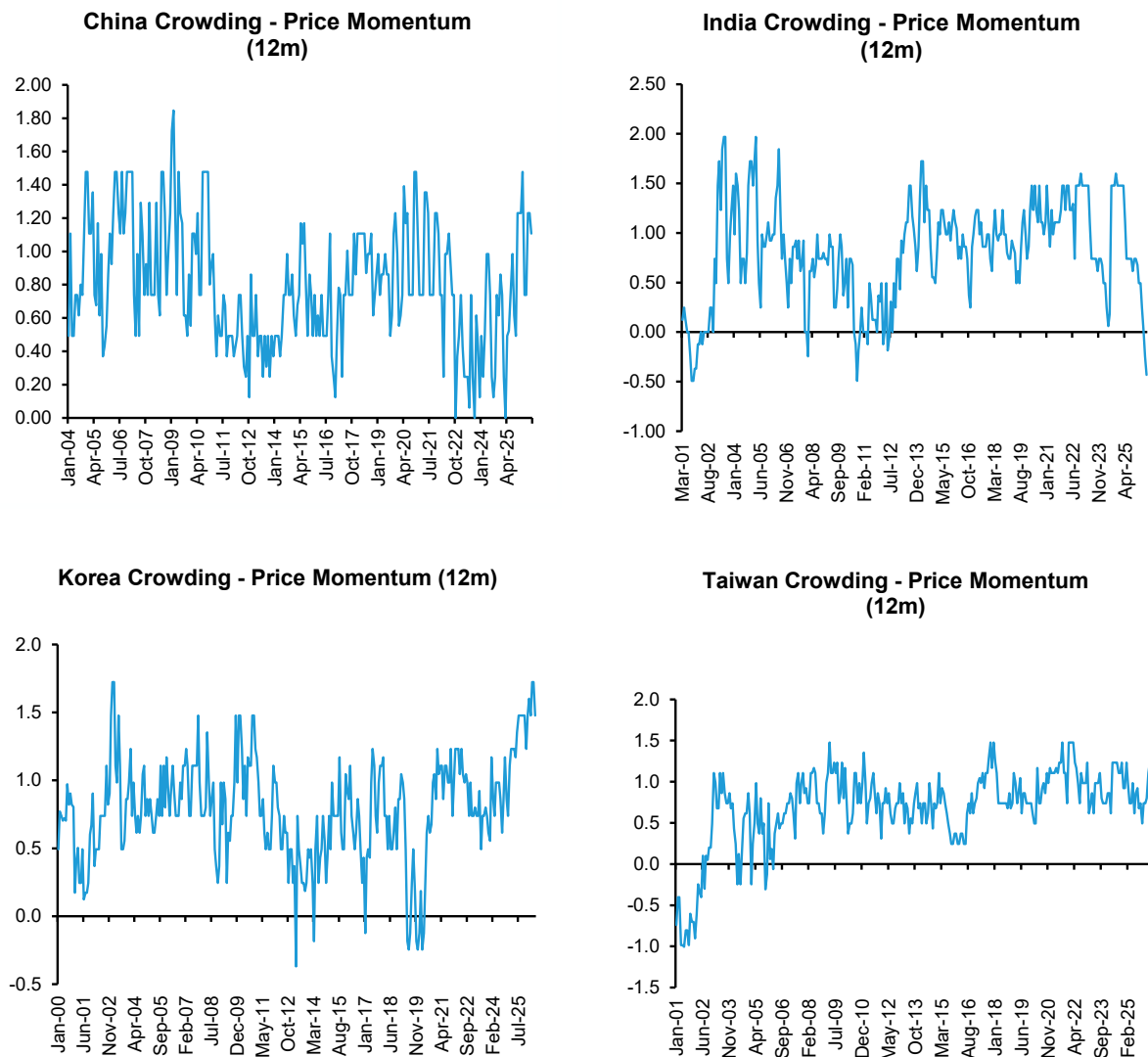
EXHIBIT 5: Earnings expectations for momentum stocks still remain near record high levels in TW and KR, though expectations peaked in July. In China and India, upward revisions still have more room to go



Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 6: Momentum still remains a crowded trade across Taiwan and Korea, though less so in China. In India, crowding within momentum has dropped near record low levels making it a good contrarian trade

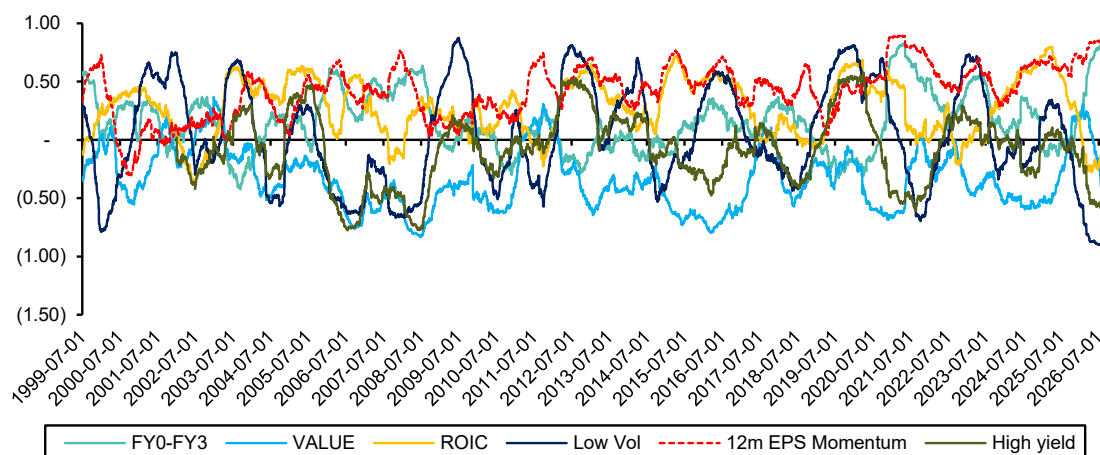


Data as of Jul 31st 2026

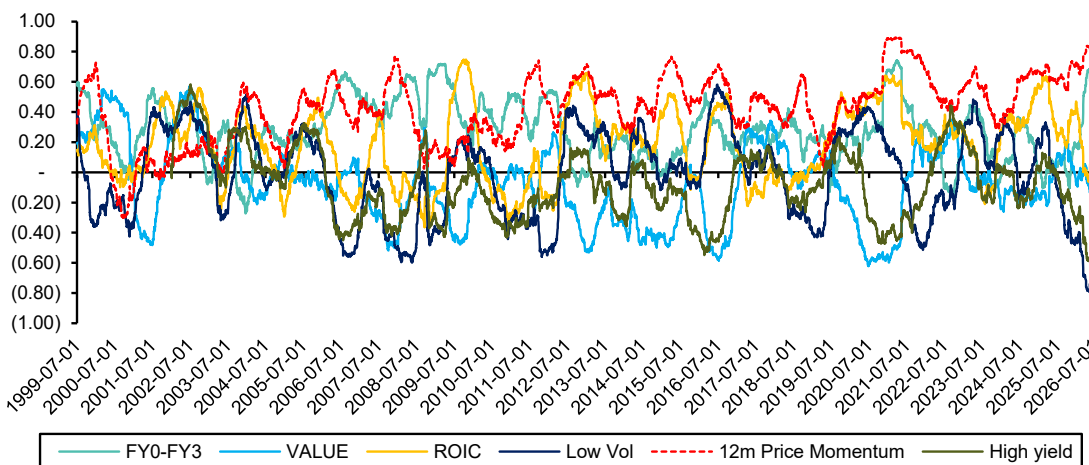
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 7: Interestingly, there has been no visible inflection yet on the 25yr high intra-market dispersion - Growth remains at record high correlation with momentum while low vol has fallen even further, now at >90% correlation with momentum. We expect this to mean revert and hence recommend adding more low vol/high yield and trim growth exposure. However, it remains a transition phase

Correlation: Asia ex China Price Momentum vs. other factors

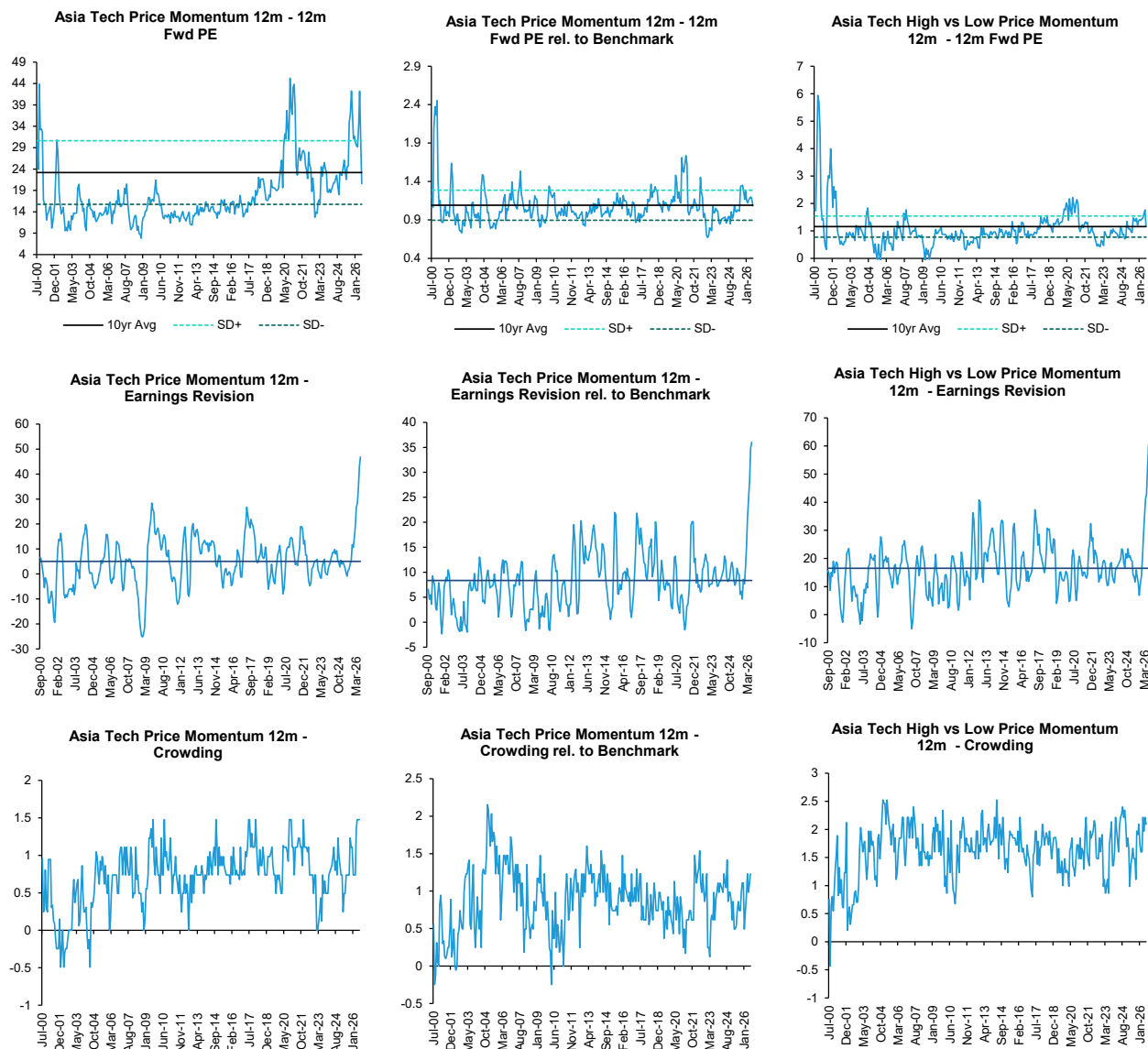


Correlation: Asia ex China Earnings Momentum vs. other factors



Data till Jul 31st 2026. The charts shows rolling 6m correlations using daily returns
Source: MSCI, FactSet, Bernstein Analysis

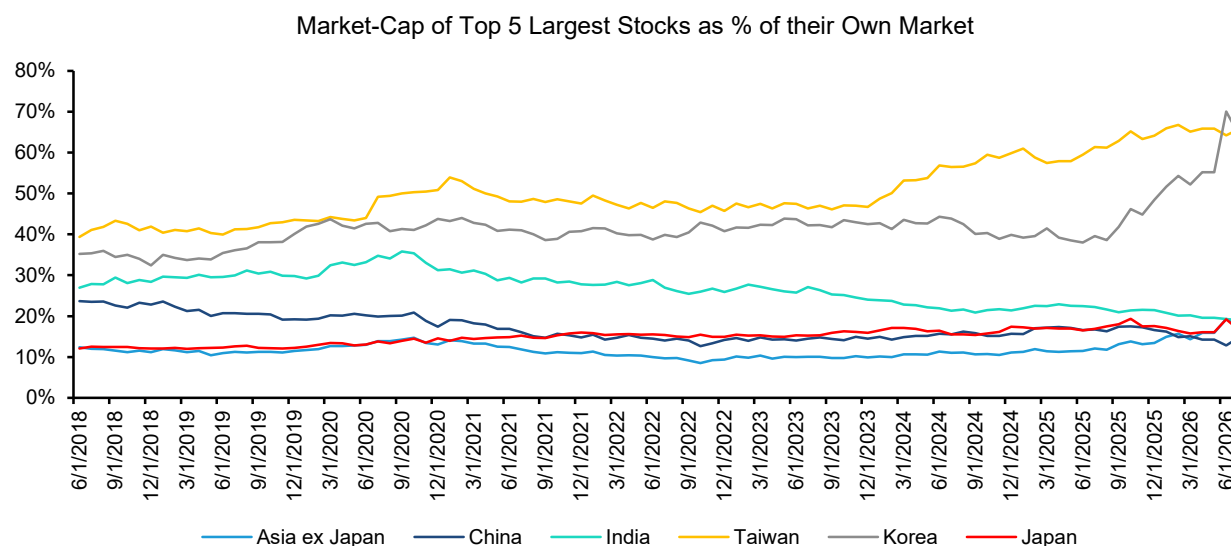
EXHIBIT 8: Tech Momentum valuations have also dropped to below average valuations, however earnings expectations and crowding remain at record high



Data as of Jul 31st 2026

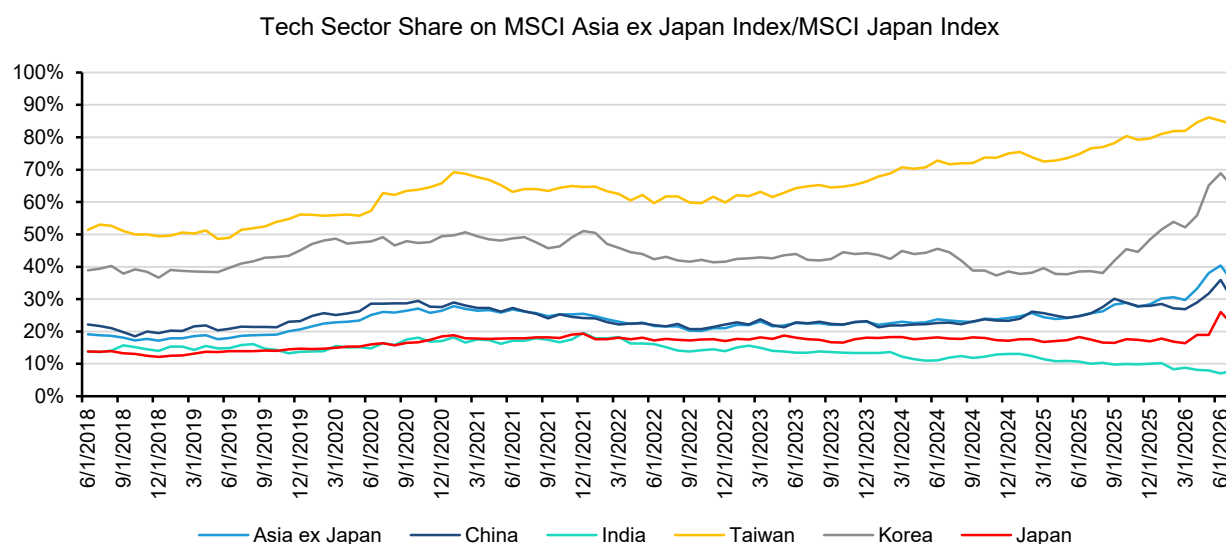
Source: MSCI, FactSet, Bernstein Analysis

EXHIBIT 9: There hasn't been much impact on concentration risk in KR and TW - Top 5 names still account for 65% of market cap in KR and 66% in TW market



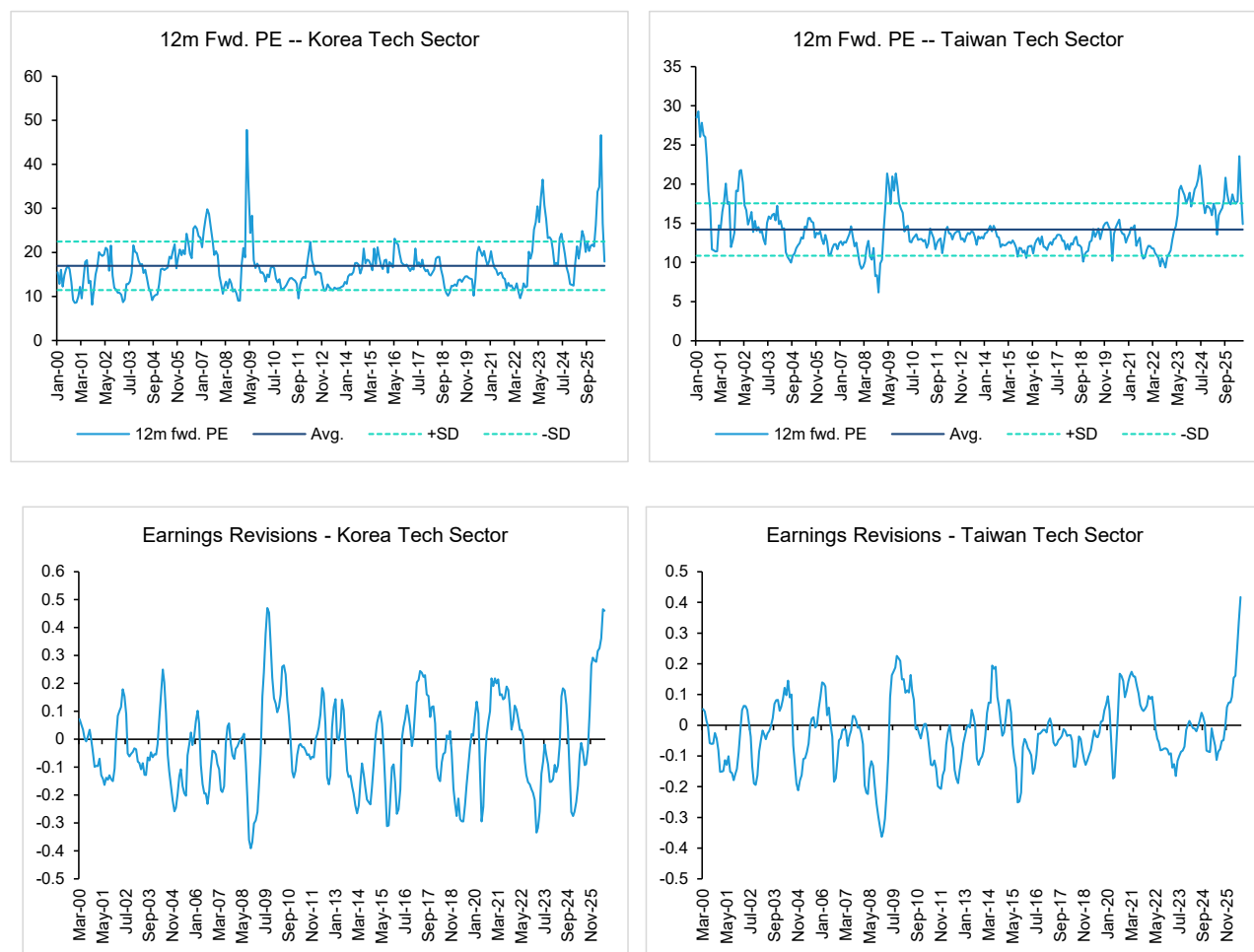
Data as of Jul 31st 2026. The exhibit shows top 5 largest stocks share by market cap in the index for each own market
Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 10: The tech sector concentration is still very elevated - the sector now accounts for 84% of total market cap of Taiwan (down from 85%) and 65% in Korea (down from 70%)



Data till Jul 31st 2026. Share by market cap. Asia ex Japan technology stocks are based on GICS1 classification in MSCI APxJ Index universe + stocks classified as "Internet and Catalog Retail" and "Interactive Media and Services" based on sub sector classification. Japan tech universe is the combination of stocks within Technology sector, stocks within Entertainment industry as well as stocks within Factory Automation Equipment sub-industry.
Source: MSCI, FactSet, Bernstein analysis

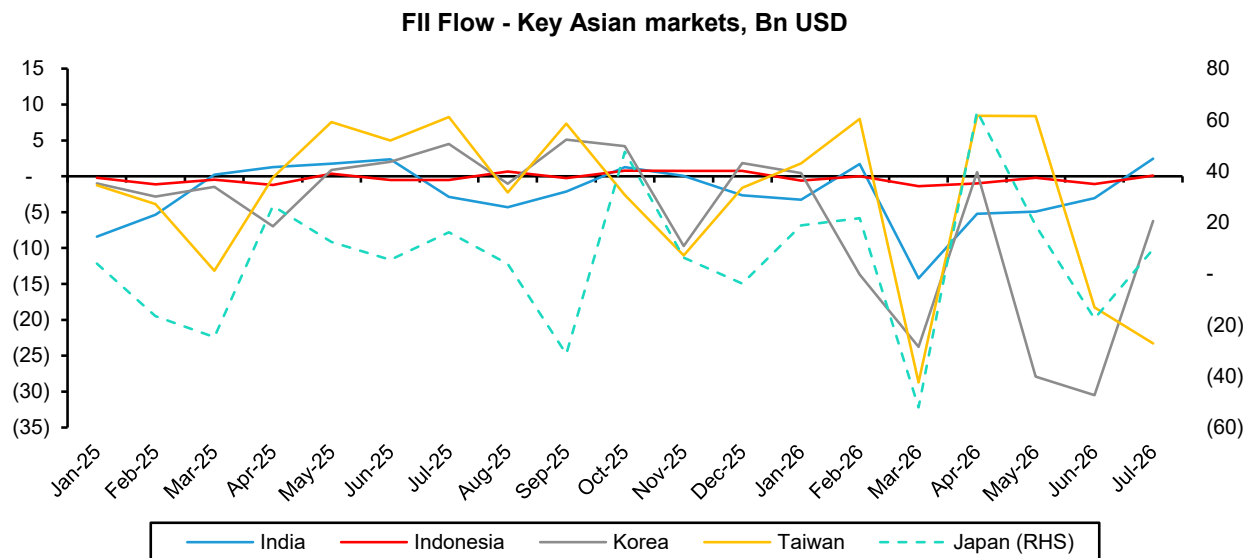
EXHIBIT 11: Korea and Taiwan tech again have seen significant de-rating dropping to near average valuations from record high levels. However, earnings expectations are still are record high (showing just early inflection in July)



Data till Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

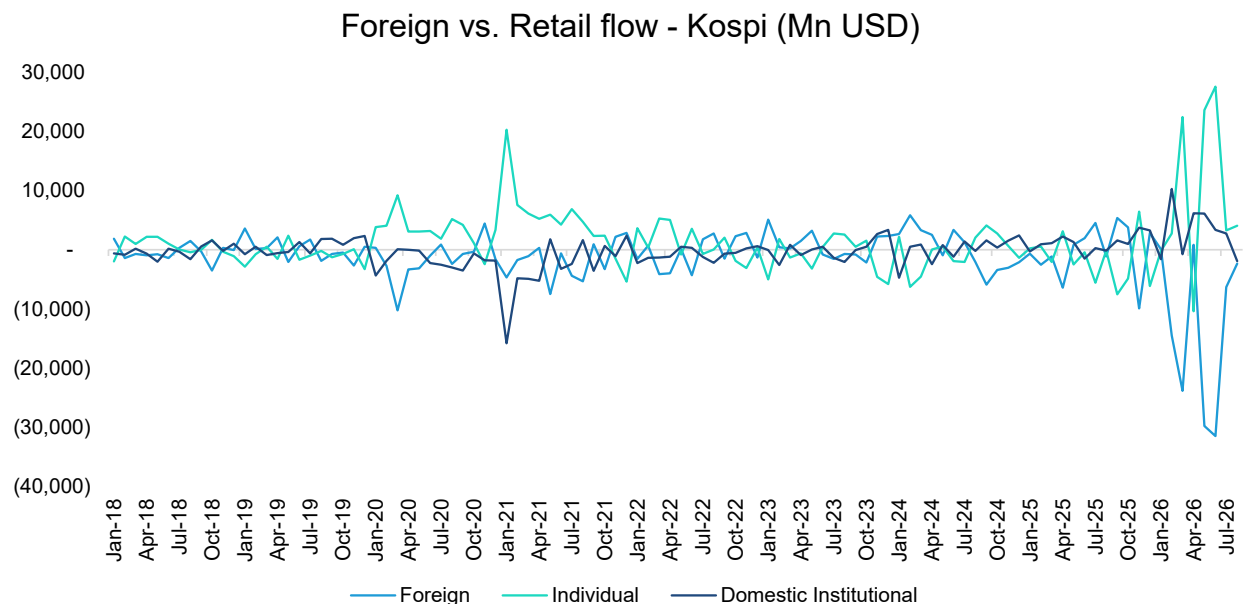
EXHIBIT 12: YTD FII flow- Korea has seen -\$103bn outflow followed by Taiwan (-\$44bn) and India (-26.5bn USD). However, FII outflow for KR/JP bottomed in June while India saw net FII inflow (2.5bn USD) in July



Data till Jul 31st 2026

Source: Bloomberg, Bernstein analysis

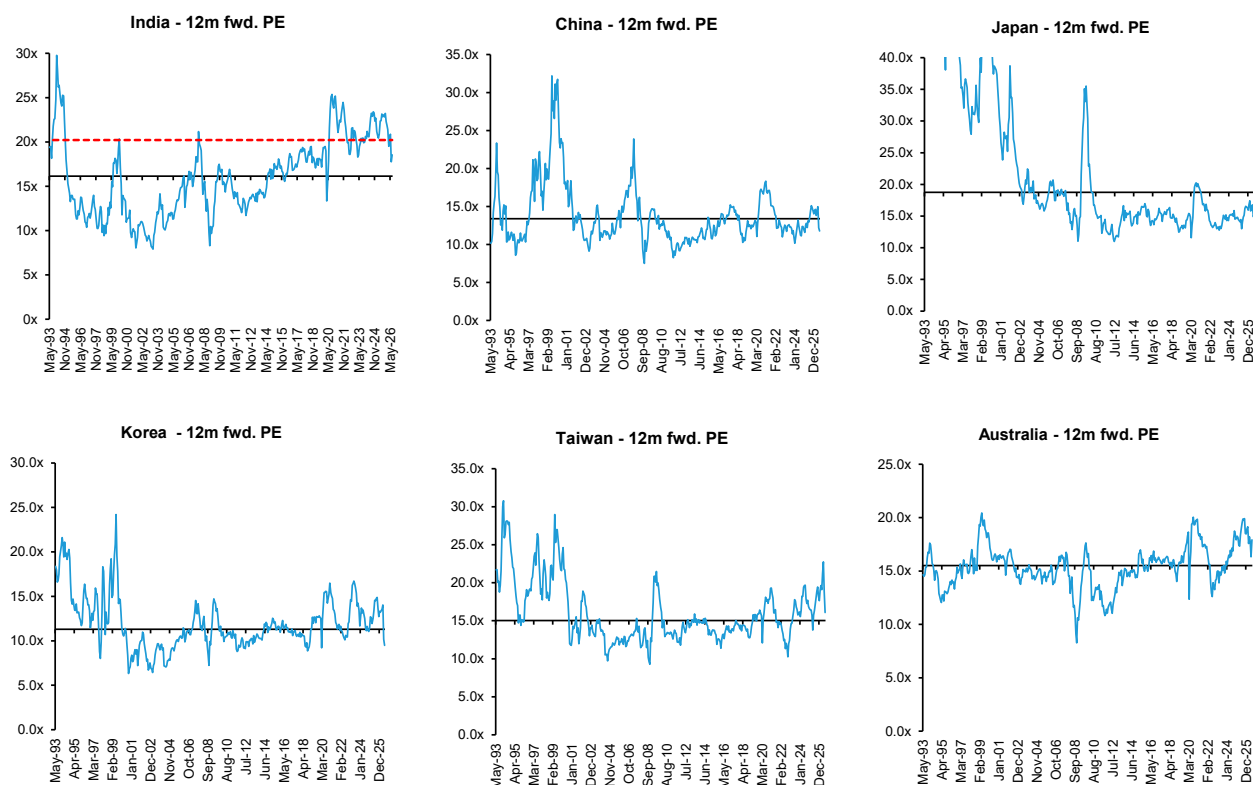
EXHIBIT 13: July saw some normalization of investor flow in Korea - where retail flow pulled back from June end peaks and FII outflow slowed down from June end bottom. The risk from extreme retail chasing is largely behind us



Data as of Aug 6th 2026

Source: Bloomberg, Bernstein analysis

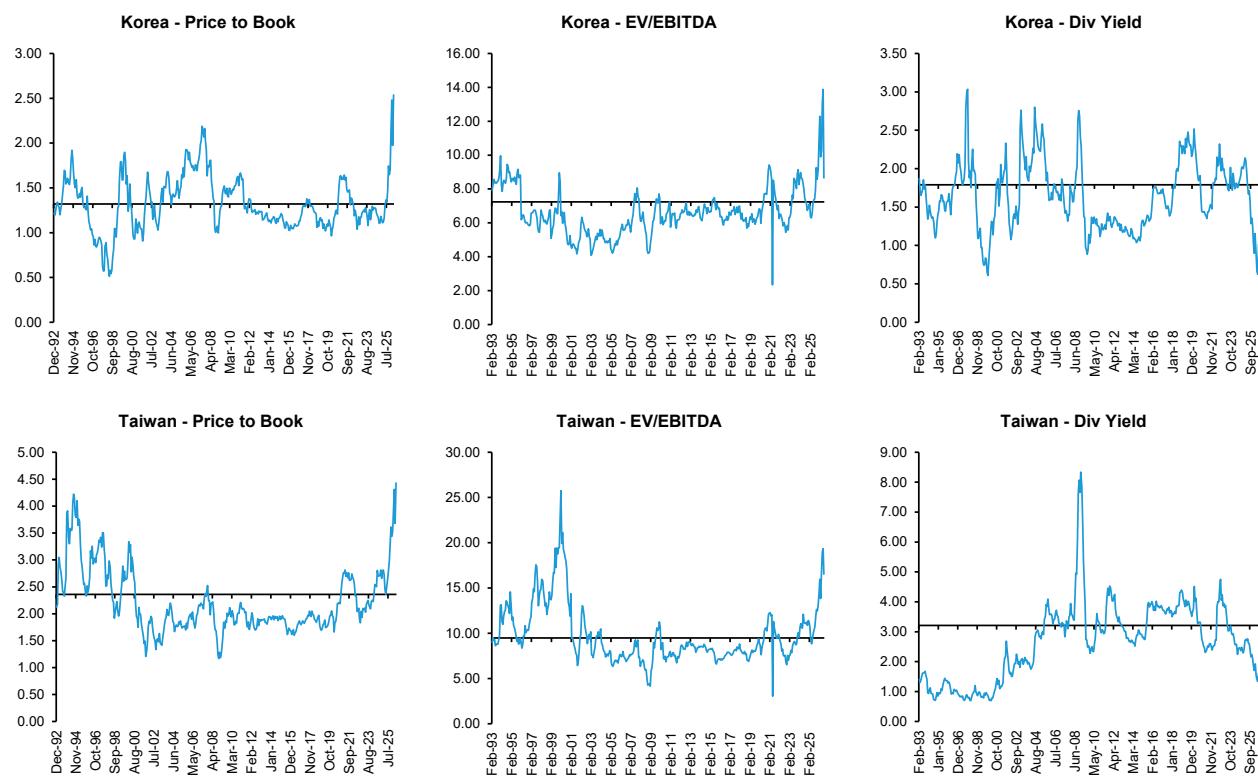
EXHIBIT 14: On 12m fwd. PE, all Asian markets have corrected meaningfully, though India is now showing a valuation bottom (after dropping below 2021/2023 bottom)



Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 15: PB and EV/EBITDA has peaked in both KR/TW while DY has bottomed - hence valuation cycle has turned, however there is ample room for normalization

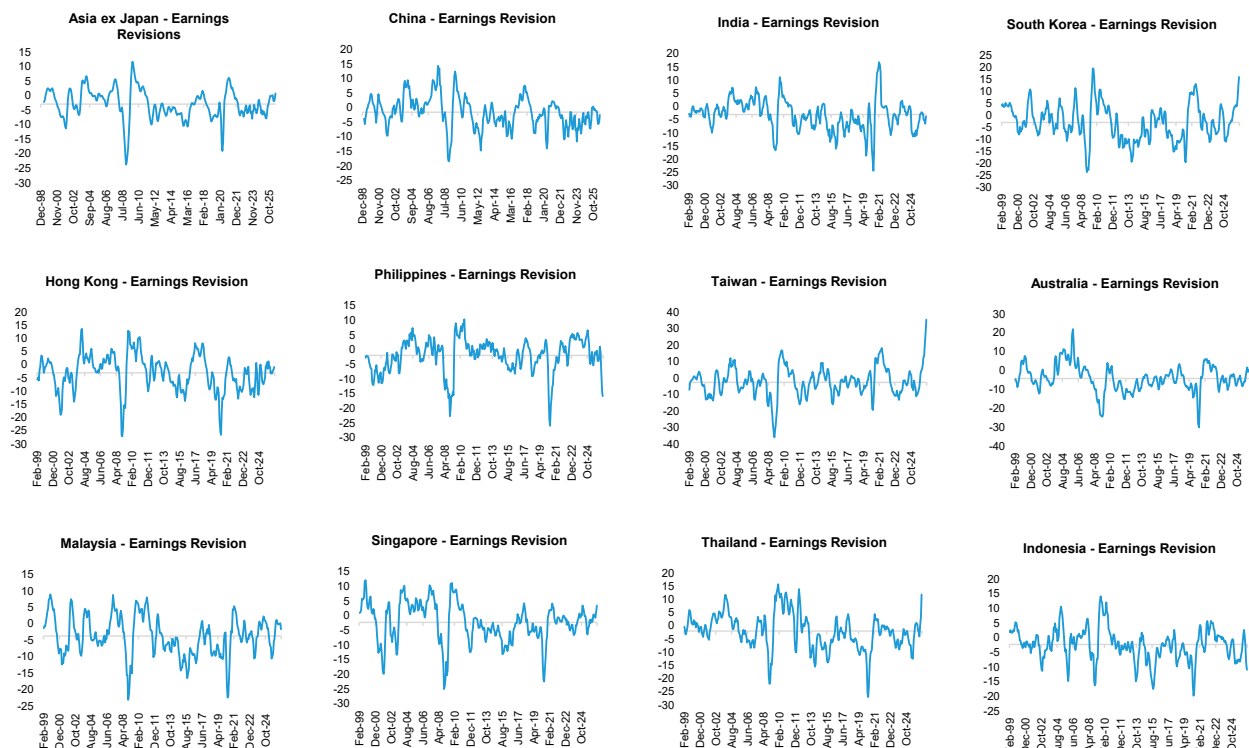


Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 16: The earnings cycle is broadening out - China and India earnings downgrade cycle has shown a clear bottom while PH/AU/ID are showing early signs of inflection. While earnings expectations for KR/TW/TH are still at record high, the upgrades peaked in July for KR/TW

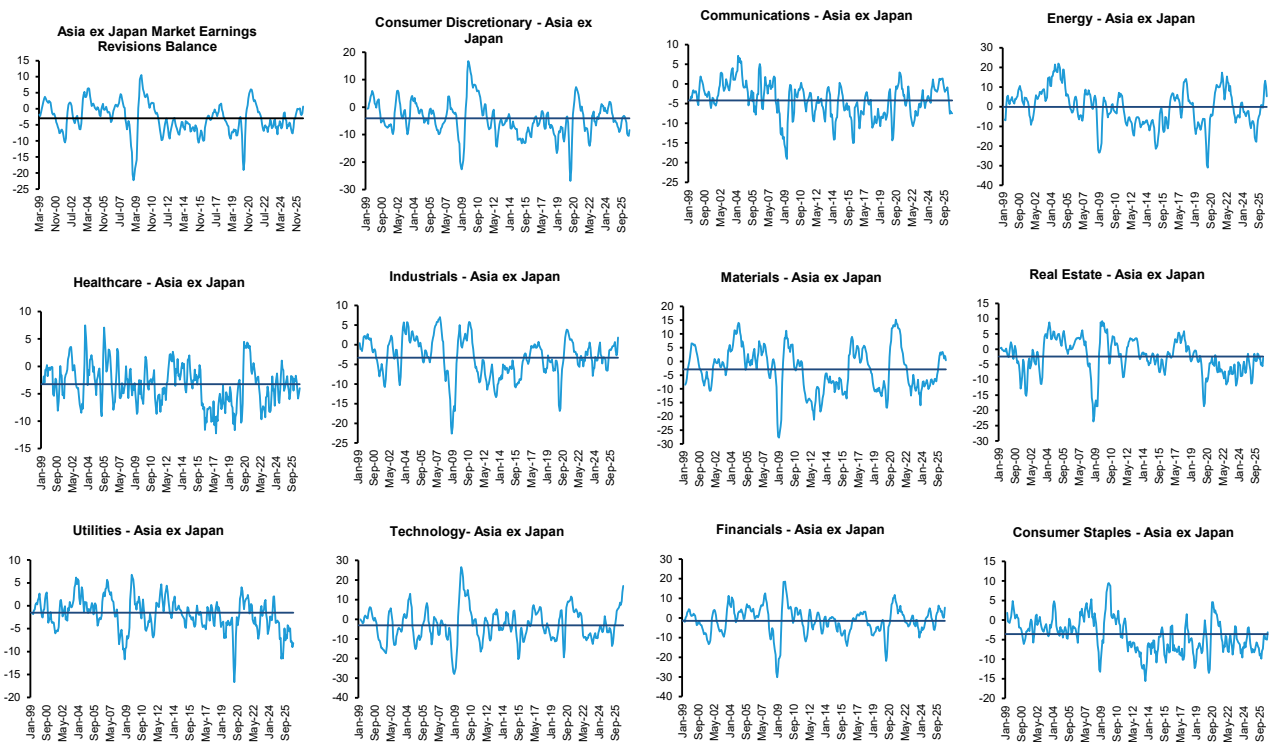
Eq-wtd earnings revisions balance by market



Data as of Jul 31st 2026

Source: MSCI, FactSet, Bernstein Analysis

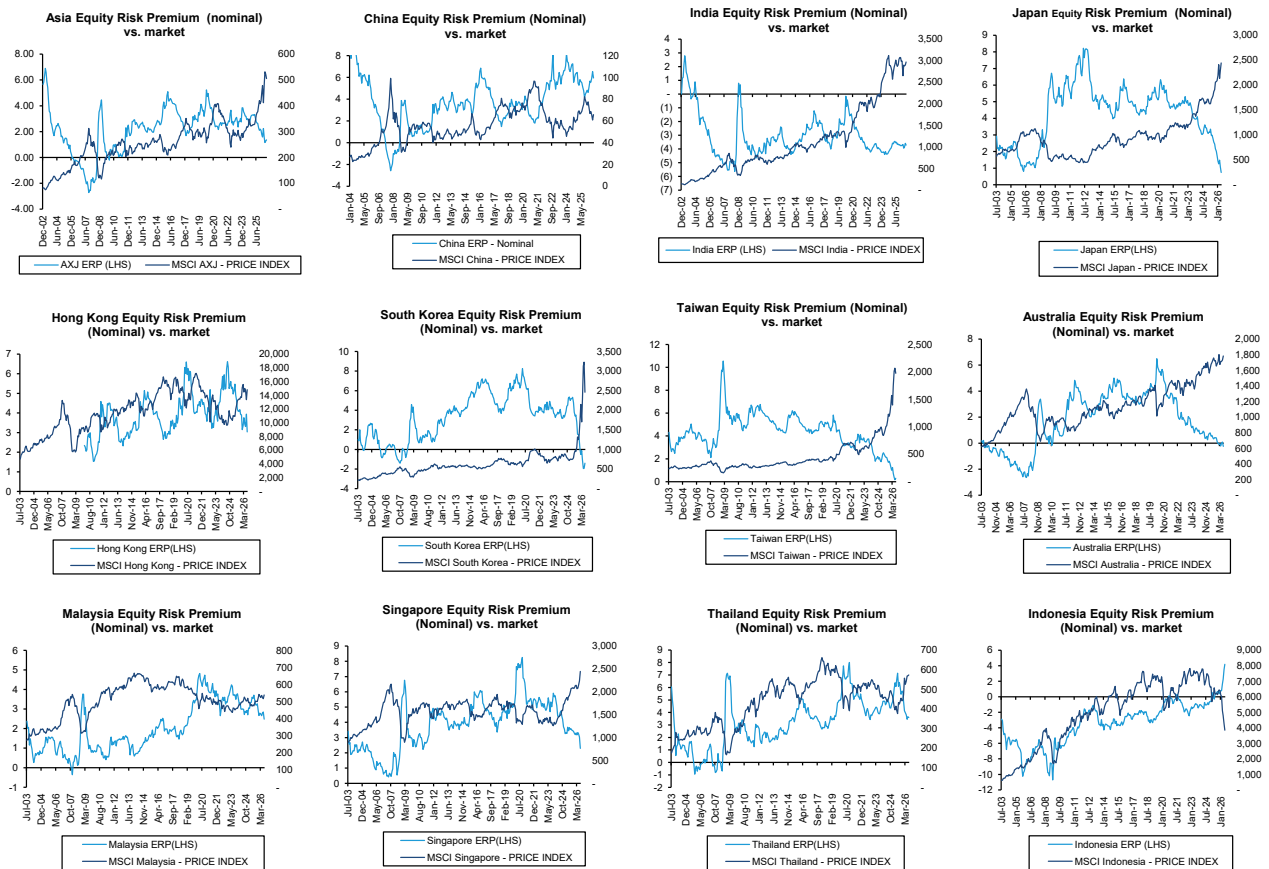
EXHIBIT 17: Even for sectors, earnings cycle is broadening - Along with Tech now Industrials/Financials are also showing upward revisions while Healthcare, Utilities, Consumer and Real Estate are showing earnings recovery



Data till Jul 31st 2026

Source: MSCI, FactSet, Bernstein analysis

EXHIBIT 18: After reaching record low risk premium, we see early inflection in KR/TW. Even Thailand risk premium seems to be picking up while China risk premium is showing early peak



Data as of Jul 31st 2026

Source: Bloomberg, MSCI, FactSet, Bernstein Analysis

APPENDIX

We acknowledge the contribution of Rui Shi

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